REPORTABLE

IN THE SUPREME COURT OF INDIA
CIVIL APPELLATE JURISDICTION

CIVIL APPEAL NO. 1176 OF 2024
(Arising out of SLP (C) No. 20531 of 2023)

NIRMAAN SETU ENGINEERS & CONTRACTORS ...APPELLANT(S)

VERSUS

STATE INDUSTRIAL INFRASTRUCTURE CORPORATION ...RESPONDENT(S)

J U D G M E N T

HARISH C. MAHAPATRA, J.

1. Leave granted.

2. The appellant, a works contractor, is aggrieved by the order of the High Court dismissing its application under Section 11(6) of the Arbitration and Conciliation Act, 1996 ("the 1996 Act") on the ground that the claims sought to be referred to arbitration were barred by limitation.

3. The appellant had executed road and drainage works for the respondent under a contract of 2012. The final bill was submitted on 14.11.2016. The respondent released part payment in 2018 and rejected the balance claim by a letter dated 22.09.2019. The appellant invoked arbitration on 17.01.2020 and, upon the respondent's failure to concur, filed the application on 05.08.2021, which is well within three years of the notice invoking arbitration. The High Court held that the claim itself had become time-barred because the cause of action arose on 14.11.2016.

4. The question is the extent to which the Court exercising power under Section 11(6) of the 1996 Act should examine limitation with respect to the claims.

5. The judgments of this Court have repeatedly emphasised that the jurisdiction of the Court at the appointment stage is a limited one. The Court is not to conduct a roving enquiry into the merits or into mixed questions of law and fact, which are for the arbitral tribunal under the principle of competence-competence embodied in Section 16 of the 1996 Act.

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6. At the stage of appointing an arbitrator under Section 11(6) of the Arbitration and Conciliation Act, 1996, the Court should decline to refer the parties to arbitration on the ground of limitation only where the claims are ex facie and indisputably time-barred; where the question is debatable it is for the arbitral tribunal to decide under Section 16.

7. The claim here involves part payment in 2018 and correspondence of 2019, on which a plausible case of acknowledgment can be made. The claims cannot be called ex facie time-barred.

8. We make it clear that we are not concerned in this appeal with the distinct question of when time begins to run for filing the application under Section 11(6) itself, which does not arise on the facts, the application having been filed within three years from any conceivable date. That question is left open.

9. The appeal is allowed. The order of the High Court is set aside. The High Court shall appoint an arbitrator within four weeks. All questions on limitation are left open for the arbitral tribunal.

.....J.
[RAGHAVENDRA N. SESHADRI]

.....J.
[HARISH C. MAHAPATRA]

.....J.
[LALITHA R. IYENGAR]

NEW DELHI;
JANUARY 09, 2024.

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